

Acme Financial Services

Annual Investment Review

March 22, 2026

Section 1: Portfolio Overview

Your investment portfolio continues to perform in line with the agreed risk profile. The asset allocation remains balanced across equities, fixed income, and alternative investments. Total assets under management stand at \$2.4 million as of the reporting date, reflecting a net increase of 3.8% from the prior quarter.

Section 2: Equity Holdings

The equity component returned 8.2% over the reporting period, outperforming the benchmark by 1.4 percentage points. Technology and healthcare sectors were the primary contributors to growth. The technology allocation benefited from strong earnings in the semiconductor subsector, while healthcare gained from regulatory approvals for three portfolio companies. Individual stock selection contributed 60% of the outperformance, with sector allocation accounting for the remaining 40%.

IMPORTANT UPDATE: Following the recent regulatory changes announced by the Financial Services Authority, we have conducted a comprehensive review of all client portfolios to ensure full compliance with the new reporting requirements. This review has been completed and no material changes to your investment strategy are required at this time. However, we will continue to monitor developments and inform you of any future adjustments that may be necessary. A detailed compliance report is available upon request from your dedicated relationship manager. The review covered liquidity requirements, concentration limits, and counterparty exposure thresholds as specified in the updated regulatory framework.

Section 3: Fixed Income

Government bonds yielded a steady 3.1% return. Corporate bond holdings were selectively adjusted to reduce duration risk in anticipation of potential rate changes. Investment-grade corporate bonds returned 2.8%, while high-yield positions delivered 4.2% with no credit events. The average duration of the fixed income portfolio was shortened from 5.2 to 4.1 years during the quarter.

Section 4: Alternative Investments

Real estate investment trusts contributed 5.7% to overall portfolio performance. Commodity exposure was reduced by 2% following the quarterly rebalancing. Private equity holdings reported two successful exits during the period, generating distributions of \$180,000. Infrastructure investments continue to provide stable income with minimal correlation to public markets.

Section 5: Risk Assessment

Value-at-Risk metrics remain within acceptable thresholds. Stress testing scenarios show the portfolio can withstand a 20% market correction without breaching risk limits. Maximum drawdown during the quarter was 3.2%, well within the 8% tolerance band. Correlation analysis shows adequate diversification across asset classes with no single position exceeding 5% of total portfolio value.

Section 6: Outlook

We maintain a cautiously optimistic outlook for the next quarter. Geopolitical uncertainties warrant continued monitoring, but fundamental economic indicators support steady growth. Central bank policy remains accommodative, and corporate earnings growth is expected to moderate but remain positive. We recommend maintaining the current strategic allocation with minor tactical adjustments to capture emerging opportunities in the green energy sector.

Section 7: Fees and Charges

Management fees for the period totaled 0.45% of assets under management, consistent with the agreed fee schedule. Performance fees of 0.12% were charged on the equity outperformance above the benchmark hurdle rate. Total all-in costs for the quarter were 0.57%, below the industry median of 0.65% for comparable portfolios. A detailed fee breakdown is attached in Appendix B.

Section 8: Regulatory and Compliance

All regulatory filings were submitted on time. The portfolio complies with all applicable investment restrictions and guidelines. No breaches or near-breaches were recorded during the period. The annual compliance certification has been completed and filed with the relevant regulatory authorities.

Please contact your advisor for any questions regarding this report.